

AFFAIRE RELATIVE A
CERTAINS INTÉRÊTS ALLEMANDS
EN HAUTE-SILÉSIE POLONAISE

PUBLICATIONS OF THE PERMANENT COURT
OF INTERNATIONAL JUSTICE.

SERIES A — No. 6

August 25th, 1925

COLLECTION OF JUDGMENTS

CASE CONCERNING
CERTAIN GERMAN INTERESTS
IN POLISH UPPER SILESIA

LEYDE
SOCIÉTÉ D'ÉDITIONS
A. W. SIJTHOFF
1925



LEYDEN
A. W. SIJTHOFF'S
PUBLISHING COMPANY
1925

PERMANENT COURT OF INTERNATIONAL JUSTICE.

EIGHTH (ORDINARY) SESSION.

Present:

1925.
August 25t
File E. c. V
Docket VIII.

MM. HUBER, <i>President</i> ,	
LODER, <i>Former President</i> ,	
WEISS, <i>Vice-President</i> ,	
Lord FINLAY,	
MM. NYHOLM,	
DE BUSTAMANTE,	} <i>Judges.</i>
ALTAMIRA,	
ODA,	
ANZILOTTI,	
PESSÔA,	
WANG.	} <i>Deputy-Judge.</i>
Count ROSTWOROWSKI,	
M. RABEL,	} <i>National Judges</i>

JUDGMENT No. 6.

CASE CONCERNING
CERTAIN GERMAN INTERESTS
IN POLISH UPPER SILESIA.

The Government of Germany, represented by Dr. Erich Kaufmann, Professor at Bonn,

Applicant,

versus

The Government of the Polish Republic, represented by M. Mrozowski, President of the Supreme Council of Warsaw, M. Limburg, Leader of the Bar at The Hague, and M. Sobolewski, Assistant Delegate to the Reparations Commission,

Respondent.

PRELIMINARY OBJECTIONS TAKEN BY THE GOVERNMENT
OF THE POLISH REPUBLIC.

THE COURT,

composed as above,
having heard the observations and conclusions of the Parties,
delivers the following judgment :

* * *

The Government of the German Reich, by an Application instituting proceedings filed with the Registry of the Court on May 15th, 1925, in conformity with Article 40 of the Statute and Article 35 of the Rules of Court, has submitted to the Permanent Court of International Justice a suit concerning certain German interests in Polish Upper Silesia. These interests concerned in the first place the taking over by a delegate of the Polish Government of control of the working of the nitrate factory at Chorzow, the taking possession by him of the movable property and patents, licences, etc., of the company which had previously worked the factory, and the removal from the land registers of the name of this company as owner of certain landed property at Chorzow and the entry of the Polish Treasury in its place. In the second place, these interests concerned the notice given by the Government of the Polish Republic to the owners of certain large agricultural estates of its intention to expropriate these properties.

It is submitted in the Application :

- i. (a) that Article 2 of the Polish Law of July 14th, 1920, constitutes a measure of liquidation as concerns property, rights and interests acquired after November 11th, 1918, and that Article 5 of the same law constitutes a liquidation of the contractual rights of the persons concerned ;

(b) that, should the decision in regard to point (a) be in the affirmative, the Polish Government in carrying out these liquidations has not acted in conformity with the provisions of Articles 92 and 297 of the Treaty of Versailles ;
2. (a) that the attitude of the Polish Government in regard to the *Oberschlesische Stickstoffwerke* and *Bayrische Stickstoffwerke*

Companies was not in conformity with Article 6 and the following articles of the Geneva Convention ;

- (b) should the decision in regard to point (a) be in the affirmative, the Court is requested to state what attitude should have been adopted by the Polish Government in regard to the Companies in question in order to conform with the above-mentioned provisions ;
3. that the liquidation of the rural estates belonging to Count Nikolaus Ballestrem ; to the *Georg Giesches Erben Company* ; to Christian Kraft, Fürst zu Hohenlohe-Oehringen ; to the *Vereinigte Königs- und Laurahütte Company* ; to the Baroness Maria Anna von Goldschmidt-Rothschild (née von Friedländer-Fuld) ; to Karl Maximilian, Fürst von Lichnowsky ; to the City of Ratibor ; to Frau Gabriele von Ruffer (née Gräfin Henckel von Donnersmarck) ; to the *Godulla Company* and to Frau Hedwig Voigt, would not be in conformity with the provisions of Article 6 and the following articles of the Geneva Convention.

In the course of the oral proceedings in Court, the German representative stated that he withdrew submission No. 3, in so far as it concerned the agricultural estate belonging to Madame Hedwig Voigt ; this statement was duly recorded.

The Application instituting proceedings was, in accordance with Article 40 of the Statute, communicated to the Government of the Polish Government on May 16th, 1925. That Government informed the Court on June 12th and 18th that it felt obliged in this suit to make "certain preliminary objections of procedure, and, in particular, an objection to the Court's jurisdiction to entertain the suit" ; these objections it intended to set out in a Case which would be filed before the end of the month of June, that is to say in sufficient time "to enable the Court to commence the oral proceedings in regard to these objections of procedure on July 15th".

The representative of the German Government, on being informed of the Polish Government's communication, also made a statement to the effect that the German Reply to the Polish Case on the question of jurisdiction would be filed in sufficient time, whereupon July 10th was fixed as the date for the filing of the German Counter-Case in reply to the Polish Government's Case

setting out the preliminary objections which that Government intended to make.

The Polish Case, which was headed "*Réponse exceptionnelle* to the Application of the German Government dated May 15th, 1925", was filed with the Registry and communicated to the representative of the German Government on June 26th. It was submitted in this document that :

(a) in regard to suit No. I (the factory at Chorzow), the Court should declare that it had no jurisdiction or, in the alternative, that the application could not be entertained until the German-Polish Mixed Arbitral Tribunal had given judgment ;

(b) in regard to the suits grouped under No. II (the large agricultural properties), the Court should declare that it had no jurisdiction, or, in the alternative, that the application could not be entertained.

The German Counter-Case, which is headed "Observations of the German Government concerning the objections taken in the reply of the Polish Government to the Application of the German Government concerning certain German interests in Polish Upper Silesia", was filed with the Registry and communicated to the Polish representative on the day fixed. The German Counter-Case, whilst abstaining from making any definite submissions, endeavours to refute the submissions made in the Polish Case.

In support of their submissions or arguments, the Parties have placed a number of documents before the Court, as annexes to their "Reply" and "Observations". The German Government has also filed a collection of "Documents concerning the question of the Nitrate Factory at Chorzow".

Furthermore, the Court has heard, in the course of public sittings held on July 16th, 18th and 20th, the statements of MM. Mrozowski and Limburg, agents for the Polish Government, and of Professor Kaufmann, agent for the German Government.

* * *

THE FACTS.

Before commencing the legal examination of the preliminary objections raised by the Polish Government, it is necessary briefly

to state the facts which have led up to the institution of proceedings by the German Government. A distinction must be made between the facts relating respectively to each of the two groups of interests referred to in the German Application, namely, those connected with the factory at Chorzow and those connected with the notice of an intention to proceed to expropriation given to certain owners of large agricultural estates.

A. — The Factory at Chorzow.

On March 5th, 1915, a contract was concluded between the Chancellor of the German Empire, on behalf of the Reich, and the *Bayrische Stickstoffwerke A.-G.* of Trostberg, Upper Bavaria, by which contract this Company undertook "to establish for the Reich and to begin forthwith the construction of", amongst other things, a nitrate factory at Chorzow in Upper Silesia. The necessary lands were to be acquired on behalf of the Reich and entered in its name in the land register. The machinery and equipment were to be in accordance with the patents and licences of the Company and the experience gained by it, and the Company undertook to manage the factory until March 31st, 1941, making use of all patents, licences, experience gained, innovations and improvements, as also of all supply and delivery contracts of which it had the benefit. For this purpose a special section of the Company was to be formed, which was, to a certain extent, to be subject to the supervision of the Reich which had the right to a share of the surplus resulting from the working of the factory during each financial year. The Reich had the right, commencing on March 31st, 1926, to terminate the contract for the management of the factory by the Company on March 31st of any year upon giving fifteen months' notice. The contract could be terminated as early as March 31st, 1921, always on condition of fifteen months' notice being given, if the Reich's share of the surplus did not reach a fixed level.

On December 24th, 1919, a series of legal instruments were signed and legalized at Berlin with a view to the formation of a new Company, the *Oberschlesische Stickstoffwerke A.-G.*, and the sale by the Reich to that Company of the factory at Chorzow, that is to say, the whole of the land, buildings and installations belonging thereto, with all accessories, reserves, raw material, equipment and

stocks. The management and working were to remain in the hands of the *Bayrische Stickstoffwerke* Company, which, for this purpose, was to utilize its patents, licences, experience gained and contracts. These relations between the two Companies were confirmed by means of letters, dated December 24th and 28th, 1919, exchanged between them. The *Oberschlesische Stickstoffwerke* Company was duly entered on January 29th, 1920, at the *Amtsgericht* of Königshütte, in the Chorzow land register, as owner of the landed property constituting the nitrate factory of Chorzow.

On July 1st, 1922, this Court, which had become Polish, gave a decision to the effect that the registration in question was null and void and was to be cancelled, the pre-existing position being restored, and that the property rights of the lands in question were to be registered in the name of the Polish Treasury. This decision, which cited Article 256 of the Treaty of Versailles and the Polish law and decree of July 14th, 1920, and June 16th, 1922, was put into effect the same day.

On July 3rd, 1922, M. Ignatz Moscicki, who was delegated with full powers to take charge of the factory at Chorzow by a Polish ministerial decree of June 24th, 1922, took possession of the factory and took over the management in accordance with the terms of the decree. The German Government contends and the Polish Government admits that the said delegate, in undertaking the control of the working of the factory, at the same time took possession of the movable property, patents, licences, etc.

On November 10th, 1922, the *Oberschlesische Stickstoffwerke* Company brought an action before the Germano-Polish Mixed Arbitral Tribunal at Paris. It called upon that Court

“to allow the claim submitted by the *Oberschlesische Stickstoffwerke Aktiengesellschaft*, and to order the Polish Government, the respondent in the suit, to restore the factory, to make any other reparation which the Court may see fit to fix and to pay the costs of the action.”

In its reply to this application, the Polish Government asked the Court to declare that it had no jurisdiction (in the alternative, to non-suit the applicant).

The suit was admitted to be ready for hearing on October 15th, 1923. It is, however, still pending.

Furthermore, the *Oberschlesische Stickstoffwerke* Company brought an action before the Civil Court of Kattowitz. It asked that Court

“to order the respondent to inform the applicant as to the movable property found at the Chorzow nitrate factories at 11 a.m. on the morning of July 3rd, 1922, when the working of those factories was resumed by the respondent; to state what debts it had collected; to restore to the applicant or to the *Bayrische Stickstoffwerke* Company such movable property, or, should this be impossible, the equivalent value, and also to repay to the applicant or to the *Bayrische Stickstoffwerke* Company the amount of the debts collected.”

This action is still before that Court, which, however, decided on December 7th, 1923, that there was no pendency, as notice of the action had not yet been served on the *Procurature générale* at Warsaw.

B. — The large agricultural Estates.

The *Monitor Polski* of December 30th, 1924, contains notice of the Polish Government's intention to expropriate certain large estates situated in Polish Upper Silesia and belonging to twelve proprietors, amongst whom were

Count Nikolaus Ballestrem,
The *Georg Giesches Erben Company*,
Christian Kraft, Fürst zu Hohenlohe-Oehringen,
The *Vereinigte Königs- und Laurahütte Company*,
Baroness Maria Anna von Goldschmidt-Rothschild, née von
Friedländer-Fuld,
Karl Maximilian, Fürst von Lichnowsky,
The City of Ratibor,
Frau Gabriele von Ruffer, née Gräfin Henckel von Donners-
marck,
The *Godulla Company*,
Frau Hedwig Voigt.

As stated at the hearing by the representative of the Polish Government, and as already mentioned, notice was subsequently

withdrawn in the case of Frau Hedwig Voigt, the competent Polish authorities having recognized that this lady was entitled to retain her domicile in Polish Upper Silesia.

These notifications were issued on the basis of the provisions of Article 15 of the Germano-Polish Convention concerning Upper Silesia, concluded at Geneva on May 15th, 1922. They contained an invitation to those concerned to submit any objections or observations within a fixed time.

It is not alleged that in any case such notice has been followed by actual expropriation.

Six of the proprietors mentioned above have brought actions before the Germano-Polish Mixed Arbitral Tribunal, in accordance with Article 19 of the Convention concerning Upper Silesia; the object of these actions is to obtain an order suspending expropriation proceedings and a declaration that such proceedings are illegal. Two of these actions are pending, but in the other four notice of proceedings has not yet been served on the defendant. As regards at least one of the actions pending, the Polish Government has disputed the jurisdiction of the Mixed Arbitral Tribunal.

* * *

THE LAW.

Before considering the preliminary objections made by Poland, it should be observed that the two Parties agree in recognizing that Article 23 of the Geneva Convention falls within the category of "matters specially provided for in treaties and conventions in force", mentioned in Article 36 of the Court's Statute, and the Polish Government does not dispute the fact that the suit has been duly submitted to the Court in accordance with Articles 35 and 40 of the Statute. But Poland raises an objection and submits that the Court should give judgment to the effect that the German Application refers to a difference which is not covered by Article 23 of the Convention of Geneva and, should this submission be rejected, that, even if the Court had jurisdiction, the Application could not be entertained.

The Court finds as follows: The Application states in two Chapters, Nos. I and II, the facts and allegations on which its submissions

are based. Chapter I relates to the taking possession by the Polish Authorities of the factory at Chorzow and of the movable property connected with it ; it also states the German Government's opinion concerning the scope of certain clauses of the Polish Law of July 14th, 1920, and of the Treaty of Versailles. Chapter II, on the other hand, deals with the notice of intention to expropriate certain large agricultural estates.

Submissions Nos. 1 and 2 of the German Application evidently relate to Chapter I of the statement, whilst submission No. 3 relates to Chapter II.

The Polish Objection, in its submissions, follows the division into two chapters of the German Application, the first submission referring, according to the actual terms of the Polish Case, to Chapter I, whilst the second relates to Chapter II.

It follows that the first Polish submission which refers to *l'affaire I*, the so-called "Case of the Factory at Chorzow", of the German Application, questions the Court's jurisdiction to deal with either Submission No. 1 or Submission No. 2 of the German Application.

In the form in which it is drafted, Submission No. 1 of the German Application seems to deal exclusively with the Polish Law of July 14th, 1920, and the relation between this law and Articles 92 and 297 of the Treaty of Versailles. It cannot be regarded as in terms relating to a difference of opinion respecting the construction and application of Articles 6 to 22 of the Geneva Convention. But in the light, more particularly, of the statement contained in Chapter I of the German Application, it is clear that Submission No. 1 may contemplate questions relating to the case of the factory at Chorzow and may have been made in regard to such questions.

Having regard to this uncertainty as to the exact bearing of Submission No. 1 of the German Application, a declaration by the Court that it has jurisdiction to deal with *l'affaire I* mentioned in the first submission of the Polish Objection, must in no way prejudice the question of the extent to which the Court may see fit to deal with the questions contemplated by Submission No. 1 of the German Application, in the proceedings on the merits.

For these reasons, the Court will consider separately the Polish submissions regarding *l'affaire I*, relating to the factory at Chorzow, and those relating to the large agricultural estates.

A. — The Factory at Chorzow.

I.

The Plea to the Jurisdiction.

Poland's first and principal objection, in the case of the factory at Chorzow, is an objection to the Court's jurisdiction. It will be well at this point to recall the terms of Article 23 of the Convention of Geneva on which the Court's jurisdiction—if it has jurisdiction—to try the suit on its merits must be based. This article runs as follows :

[*Translation.*]

“1. — Should differences of opinion respecting the construction and application of Articles 6 to 22 arise between the German and Polish Governments, they shall be submitted to the Permanent Court of International Justice.

“2. — The jurisdiction of the Germano-Polish Mixed Arbitral Tribunal derived from the stipulations of the Treaty of Peace of Versailles shall not thereby be prejudiced.”

Poland bases her objection on three different arguments ; she contends : (a) that the Court has no jurisdiction because the existence of a difference of opinion in regard to the construction and application of the Geneva Convention had not been established before the filing of the Application ; (b) that the Court has no jurisdiction because the dispute is not one of those contemplated under Article 23 ; and (c) that the Court has no jurisdiction because submission 2 (b) of the Application is equivalent to a request for an advisory opinion, which cannot be made by an individual State, but only by the Council or Assembly of the League of Nations. As regards the last point, the Court considers that it rather affects the question whether the suit can be entertained, and will therefore take it together with Poland's subsidiary submission.

* * *

1. — As regards the first argument advanced by Poland in support of her contention that the Court has no jurisdiction to deal with submissions 1 and 2 of the German Application, the following

facts should be noted : Article 23, differing in this respect from many compromissory clauses, but resembling certain other provisions of the Geneva Convention giving jurisdiction to the Mixed Commission or to the Arbitral Tribunal set up by it, does not stipulate that diplomatic negotiations must first of all be tried ; nor does it lay down that a special procedure of the kind provided for in Article 2, No. 1, must precede reference to the Court. A comparison, therefore, between the various clauses of the Geneva Convention dealing with the settlement of disputes shows that under Article 23 recourse may be had to the Court as soon as one of the Parties considers that a difference of opinion arising out of the construction and application of Articles 6 to 22 exists.

Now a difference of opinion does exist as soon as one of the Governments concerned points out that the attitude adopted by the other conflicts with its own views. Even if, under Article 23, the existence of a definite dispute were necessary, this condition could at any time be fulfilled by means of unilateral action on the part of the applicant Party. And the Court cannot allow itself to be hampered by a mere defect of form, the removal of which depends solely on the Party concerned.

Lastly, it has been contended that according to Article 23 there must be "a difference of opinion respecting the construction *and* (*et*) application of" the articles in question, the conjunction *et* being regarded as having a cumulative meaning. The Court cannot attribute this scope to the word *et* which, in both ordinary and legal language, may, according to circumstances, equally have an alternative or a cumulative meaning. This point, however, is without practical importance, as the present case concerns both construction and application. As will be demonstrated later, the discussion of the case of the factory at Chorzow relates to a concrete instance of the application of treaty stipulations differently interpreted by the Parties.

2. — The argument on which Poland seems principally to base her objection, and on which the Cases and statements by Counsel chiefly bear, is the alleged non-existence of a difference of opinion respecting the construction and application of Articles 6 to 22 of the Geneva Convention. The Polish Government contends that the difference of opinion between the Parties does not relate to Articles

6 to 22 of the Geneva Convention, but solely to the interpretation of the law of 1920. According to the Application, this law is a measure of liquidation ; in Poland's contention, its effect is simply to annul acts alleged to be contrary to the obligations arising out of Article 256 of the Treaty of Versailles and the Protocol of Spa. And, in the view of the Polish Government, differences of opinion regarding the interpretation of the law of 1920 do not fall within the scope of Article 23 of the Geneva Convention which governs the Court's jurisdiction.

It is clear that the Court's jurisdiction cannot depend solely on the wording of the Application ; on the other hand, it cannot be ousted merely because the respondent Party maintains that the rules of law applicable in the case are not amongst those in regard to which the Court's jurisdiction is recognized. The Court must, in the first place, consider whether it derives from Article 23 of the Geneva Convention jurisdiction to deal with the suit before it and, in particular, whether the clauses upon which the decision on the Application must be based, are amongst those in regard to which the Court's jurisdiction is established.

In this connection, the Court observes in the first place that the objection to the jurisdiction filed by the Polish Government was submitted at a time when no document of procedure upon the merits had been filed and that, in consequence of the objection, the proceedings on the merits of the suit were suspended. In these circumstances, and although Poland herself has not refrained from taking some of the arguments advanced by her in support of her objection from the merits of the case, the Court cannot in its decision on this objection in any way prejudge its future decision on the merits. On the other hand, however, the Court cannot on this ground alone declare itself incompetent ; for, were it to do so, it would become possible for a Party to make an objection to the jurisdiction—which could not be dealt with without recourse to arguments taken from the merits—have the effect of precluding further proceedings simply by raising it in *limine litis* ; this would be quite inadmissible.

The Court, therefore, for the purposes of the decision for which it is now asked, considers that it must proceed to the enquiry above referred to, even if this enquiry involves touching upon subjects belonging to the merits of the case ; it is, however, to be

clearly understood that nothing which the Court says in the present judgment can be regarded as restricting its entire freedom to estimate the value of any arguments advanced by either side on the same subjects during the proceedings on the merits.

* * *

The preceding statement of the points in regard to which the Parties disagree shows that the difference of opinion between them relates to the question whether, in the case of dispossession under consideration, Articles 6 to 22 of the Geneva Convention are or are not applicable, that is to say to the extent of the sphere of application of those articles.

Article 6 of the Convention is as follows :

[*Translation.*]

“Poland may expropriate in Polish Upper Silesia in conformity with the provisions of Articles 7 to 23 undertakings belonging to the category of major industries including mineral deposits and rural estates. Except as provided in these clauses, the property, rights and interests of German nationals or of companies controlled by German nationals may not be liquidated in Polish Upper Silesia.”

Thus Article 6 on the one hand recognizes Poland's right to expropriate, in conformity with the provisions of Articles 7 to 23, certain industrial undertakings and agricultural estates and, on the other hand, stipulates that except as provided in these clauses, the property, rights and interests of German nationals or of companies controlled by German nationals may not be liquidated in Polish Upper Silesia.

So that, whatever may be the relation between the two sentences of the article, and whatever may be the scope, in this article, of the conceptions of “liquidation” and “expropriation”, it is clear that it is intended to define Poland's powers in regard to this point and in the territory in question.

It follows that the differences of opinion contemplated by Article 23, which refers to Articles 6 to 22, may also include differences of opinion as to the extent of the sphere of application of Articles 6 to 22 and, consequently, the difference of opinion existing between the Parties in the present case.

In the course of the oral proceedings it was contended on behalf

of Poland that the question was one of vested rights, a question governed by Articles 4 and 5 of the Geneva Convention, in regard to which the Court was not given jurisdiction. The German Government, on the contrary, had maintained that the applicable clauses are those contained in Articles 6 to 22. These conflicting contentions, by emphasizing the fact that the difference of opinion relates to the sphere of application of the articles last mentioned, corroborate the view adopted by the Court.

3. — Poland considers that the Geneva Convention is not applicable and that, therefore, the Court has no jurisdiction, because, as she contends, the property in question does not belong to German nationals but to the Polish State, as successor of the German Reich in the property rights under Article 256 of the Treaty of Versailles, and that for this reason there is no question of liquidation or expropriation of an undertaking belonging to German nationals. In regard to this reasoning, the Court adopts the following line of argument :

(a) It does not appear from the documents laid before the Court and it has not even been contended that the industrial undertaking under consideration at any time belonged, in its entirety, to the German Reich. The German Reich had advanced, under the contract of March 5th, 1915, the funds for the purchase of the necessary land and to construct the factory ; for this reason it had been entered in the land register as owner of the estate. But an undertaking as such is an entity entirely distinct from the lands and buildings necessary for its working, and in the present case it can hardly be doubted that, in addition to the real property which had belonged to the Reich, there were property, rights and interests, such as patents and licences, probably of a very considerable value, the private character of which cannot be disputed and which were essential to the constitution of the undertaking.

As Article 6 of the Geneva Convention refers to undertakings of "major industries" and as this article is intended to ensure the continuity of economic life, the factory at Chorzow must be regarded as a whole. Whatever may be the effect of Article 256 of the Treaty of Versailles as regards real property which had belonged to the Reich, the undertaking as such, in the opinion of the Court, falls under the terms of Article 6 and the following articles of the Geneva Convention.

It is true that the application of the Geneva Convention is hardly possible without giving an interpretation of Article 256 of the Treaty of Versailles and the other international stipulations cited by Poland. But these matters then constitute merely questions preliminary or incidental to the application of the Geneva Convention. Now the interpretation of other international agreements is indisputably within the competence of the Court if such interpretation must be regarded as incidental to a decision on a point in regard to which it has jurisdiction.

(b) It is established that the *Bayrische Stickstoffwerke* is a German company the private character of which is not disputed. This Company had, under the contract of March 5th, 1915, with the Reich and also under the correspondence of December 24th to 28th, 1919, exchanged with the *Oberschlesische Stickstoffwerke* a contract for the operation of the factory obliging and authorizing it to work the factory under the same technical conditions as its own factories. The taking over of the factory by Poland put an end to this situation and consequently affected rights and interests possessed by German nationals in Polish Upper Silesia. The real property, the ownership of which Poland claims, was, at the time when the Geneva Convention came into operation, entered in the land register as the property of a German company which, as such, falls within the scope of Article 6 of that Convention and whose existence as a German company is not disputed.

The jurisdiction possessed by the Court under Article 23 in regard to differences of opinion between the German and Polish Governments respecting the construction and application of the provisions of Articles 6 to 22 concerning the rights, property and interests of German nationals is not affected by the fact that the validity of these rights is disputed on the basis of texts other than the Geneva Convention.

II.

Admissibility of the Suit.

The Polish Government has not confined itself to raising an objection to the Court's jurisdiction to deal with the German application concerning the factory of Chorzow which is now before

the Permanent Court of International Justice. As an alternative it submits that this application cannot be entertained until the Germano-Polish Mixed Arbitral Tribunal in Paris has given judgment in the dispute regarding the same factory, which the *Oberschlesische Stickstoffwerke* Company submitted to that Tribunal on November 10th, 1922.

Is this one of those grounds of defence based on the merits of the case and calculated to cause the judge to refuse to entertain the application, such as are generally called—in French law for instance—by the name of *fins de non-recevoir*? Or is it not rather a genuine objection, directed—like that which has just been considered by the Court—not against the action itself and the legal arguments on which it is based, but against the bringing of the action before the tribunal?

In the case of a municipal court, it would be of some interest to solve this question in order to determine at what stage in the proceedings such a ground of defence might or should be put forward. But, in estimating the value of the alternative submission to the effect that it should suspend judgment in the suit before it, the Court has not to have regard to “the various codes of procedure and the various legal terminologies” in use in different countries.

Whether this submission should be classified as an “objection” or as a *fin de non-recevoir*, it is certain that nothing, either in the Statute or Rules which govern the Court’s activities, or in the general principles of law, prevents the Court from dealing with it at once, and before entering upon the merits of the case; for there can be no proceedings on the merits unless this submission is overruled.

The Polish Government considers that because the *Oberschlesische Stickstoffwerke* Company brought an action in 1922 before the Germano-Polish Mixed Arbitral Tribunal sitting in Paris for the restitution of the factory at Chorzow to that Company, which claims ownership of it, judgment on the application subsequently submitted by the Reich to the Court in regard to the same industrial concern must be suspended until judgment has been given in the previous action, which is still pending.

The way in which the Polish Government states its point of view and the deduction which it endeavours to make therefrom show that it does not really advance the plea generally known as *litispendance*. In point of fact this word does not occur in the

Polish reply ; it has only been used in the statements of Counsel, and chiefly, it would seem, as a convenient expression. If, however, the plea were to be examined in accordance with the principles generally accepted in regard to *litispendance*, the Court would undoubtedly arrive at the conclusion that it is not well-founded. It is a much disputed question in the teachings of legal authorities and in the jurisprudence of the principal countries whether the doctrine of *litispendance*, the object of which is to prevent the possibility of conflicting judgments, can be invoked in international relations, in the sense that the judges of one State should, in the absence of a treaty, refuse to entertain any suit already pending before the courts of another State, exactly as they would be bound to do if an action on the same subject had at some previous time been brought in due form before another court of their own country.

There is no occasion for the Court to devote time to this discussion in the present case, because it is clear that the essential elements which constitute *litispendance* are not present. There is no question of two identical actions : the action still pending before the Germano-Polish Mixed Arbitral Tribunal at Paris seeks the restitution to a private company of the factory of which the latter claims to have been wrongfully deprived ; on the other hand, the Permanent Court of International Justice is asked to give an interpretation of certain clauses of the Geneva Convention. The Parties are not the same, and, finally, the Mixed Arbitral Tribunals and the Permanent Court of International Justice are not courts of the same character, and, *a fortiori*, the same might be said with regard to the Court and the Polish Civil Tribunal of Kattowitz.

It would be useless to attempt to prove the contention of the Polish Government in regard to this matter by pointing to the alleged opposition in Article 23 of the Geneva Convention, and saying that this article, which gives the Court jurisdiction to decide differences of opinion respecting the construction and application of Articles 6 to 22 of that Convention, has, in the final clause already referred to, expressly reserved the "jurisdiction of the Germano-Polish Mixed Arbitral Tribunal under the Peace Treaty of Versailles". This reservation is easily explained. Section III of the Geneva Convention, to which it refers, relates in several respects to matters dealt with in the Sections of Part X of the Treaty of Versailles, in regard to which no jurisdiction is provided corresponding to that

subsequently conferred, by the first paragraph of Article 23 of the Geneva Convention, upon the Permanent Court. It was, therefore, essential to state that the right of appeal to the Court, given by this clause to the contracting States as such, in no way affected the right conferred by the Treaty of Versailles on private individuals who had suffered a wrong to bring an action before the Mixed Arbitral Tribunal. The distinction between the two spheres of jurisdiction is thus clearly brought out, and paragraph 2 of Article 23, far from lending support to the Polish submission, supplies in favour of the adverse contention an argument which is of some value.

Thus, the alternative plea, submitted by the Polish Government in the statement of its objections concerning the factory at Chorzow, for the non-suiting of the applicant on the ground of inadmissibility, like the principal objection to the Court's jurisdiction, also fails.

* * *

Nor can the Court admit the *fin de non-recevoir* incidentally raised against the German Application in the Polish Case and based on Article 14 of the Covenant of the League of Nations.

It is true that this article, which is referred to in the Preamble of the Statute of the Permanent Court of International Justice, provides that the Court may give advisory opinions at the request of the Council or Assembly of the League of Nations; a request of this kind directly submitted by a State will not be considered. But, when the Government of the Reich submits under No. 2 (a) of its Application that the attitude of the Polish Government in regard to the *Oberschlesische Stickstoffwerke* and *Bayrische Stickstoffwerke* Companies was not in conformity with Article 6 and the following articles of the Geneva Convention, and under 2 (b) asks the Court, should it confirm this submission, to give judgment concerning the "attitude which should have been adopted by the Polish Government in regard to the companies in question in order to conform with the above-mentioned provisions", it is evident that the applicant State could not have intended to obtain an advisory opinion, for which it was not entitled to ask. In point of fact it asks the Court for a *decision*, but leaves for its Case on the merits the development of the submission set out under point 2, letter (b), of its application and the exposition of the facts to be laid before the Court at that

stage of the proceedings. The observations submitted by the German Government in regard to Poland's statement of objections leave room for no doubt as to the intentions of the former Government, and the interrogative form in which the submission is formulated does not suffice to establish a construction which would place that submission outside the scope of Article 23 of the Convention on which the whole German Application is based.

B. — The large agricultural Estates.

I.

Plea to the jurisdiction.

As regards the large agricultural Estates, the Court's jurisdiction is no less clear than in the case of the factory at Chorzow.

For the reasons already stated in regard to that case, the absence of diplomatic negotiations proving the existence of the difference of opinion which is required under Article 23 of the Convention, cannot prevent the bringing of an action in the present case. Moreover, such absence would be of no practical importance, for even if the application were on this ground declared premature, the German Government would be free to renew it immediately afterwards.

The notice given by Poland, in the *Monitor Polski* of December 30th, 1924, to the owners of large estates situated in Polish Upper Silesia is based on Article 15, paragraph 1, sub-paragraph 1, of the Geneva Convention which runs as follows :

[*Translation.*]

"Should the Polish Government desire to expropriate a large estate, it must give notice of its intention to the owner of the estate before January 1st, 1925."

Germany is of opinion that ten of the notices thus given are not in conformity with the provisions of Articles 9, paragraph 3, sub-paragraph 2 ; 12, paragraph 1 ; 13, paragraph 2 ; and 17 of the Convention.

The clauses in question are as follows :

[*Translation.*]

Article 9, paragraph 3, sub-paragraph 2.

“Rural estates which are principally intended to meet the requirements of undertakings belonging to the group of major industries (dairy farming estates, timber-raising estates, etc.) shall be considered, for the purposes of this article, as forming part of the undertakings the requirements of which they may serve.”

Article 12, paragraph 1.

“Poland may expropriate estates of not less than 100 hectares of agricultural land (hereinafter called large estates) belonging on April 15th, 1922, and on the date of notification (Article 15) to German nationals who are not entitled to retain their domicile in Polish Upper Silesia (Articles 40 and 42) or to companies controlled by such German nationals. The extent of such estates will be estimated in accordance with the situation on April 15th, 1922.”

Article 13, paragraph 2.

“Agricultural estates which, in accordance with Article 9, paragraph 3, sub-paragraph 2, are to be regarded as forming part of undertakings belonging to the category of major industries, shall not be included for the purposes of the calculation of the total area of estates liable to expropriation, and the provisions regarding the expropriation of rural property shall not be applicable to them.”

Article 17.

“German nationals who, *ipso facto*, acquire the nationality of an Allied or Associated Power by application of the provisions of the Treaty of Versailles or who *ipso facto* acquire Polish nationality by application of the present Convention, shall not be regarded as German nationals for the purposes of Articles 6 to 23.”

The German Government argues in support of its contention that in most cases these notices refer to estates which are principally intended to meet the requirements of undertakings belonging to the category of major industries, and which are considered as forming part of the undertakings, the requirements of which they serve (Article 9, paragraph 3, sub-paragraph 2), and are not subject to the provisions regarding the expropriation of rural property (Article 13, paragraph 2); in other cases the estates concerned are not liable to expropriation, because their extent is less than 100 hectares of agricultural land (Article 12, paragraph 1), or because they belong to persons who have *ipso facto* acquire Czechoslovak nationality under Article 84 of the Treaty of Versailles, or Polish nationality under Article 25, paragraph 1, of the Geneva Convention (Article 17), or again because they belong to a company which "is not controlled by German nationals", or to a city which "cannot be regarded either as a German national or as a company controlled by German nationals" (Article 12, paragraph 1).

Poland replies to these contentions that hitherto she has only given notice of an intention to proceed to expropriation; so that up to the present there has been neither expropriation nor a decision to expropriate, and therefore the Court "is not yet competent" and the application "is premature".

It will, therefore, be seen that the Polish Government does not attempt to deny that the subject matter of this part of the German Application is governed by the above-mentioned provisions of the Geneva Convention (which are to be found in Articles 6 to 22); it recognizes that, in principle, these provisions apply to the property in question and that this must be expropriated in accordance with the articles above-mentioned. It therefore becomes clear that the Polish Government accepts in principle the jurisdiction of the Court in this matter; what it does dispute is that, as alleged by Germany, these provisions are to be interpreted as being compulsorily applicable—and therefore as giving the Court jurisdiction—at the present moment when Poland has merely signified an intention to expropriate.

But this difference of opinion, even when limited in this way, suffices to make it clear that the Court has jurisdiction. According to the wording of Article 23 of the Convention, it is precisely

for cases in which "differences of opinion respecting the construction and application of Articles 6 to 22 arise" between them that the Court's jurisdiction has been accepted by the two Governments. But as the question of notification is governed by Article 15 in conjunction with Articles 9, 12, 13 and 17, that is to say, by provisions included between Article 6 and Article 22 of the Geneva Convention, it is clear that the dispute which has arisen regarding the question whether notice has or has not been given in accordance with these provisions is a difference of opinion respecting the construction and application of certain of the Articles 6 to 22 of the Convention, and therefore falls within the scope of Article 23.

There are two distinct stages in the act of expropriating : notice of the intention to expropriate and the decree of expropriation. Both are dealt with in Article 15 of the Convention.

How should Articles 9, 12, 13, 15 and 17 be interpreted in relation to these two stages? Should they be regarded as only concerning the latter, which constitutes actual expropriation, or do they also refer to the first step, the giving of notice?

Poland takes the former view and Germany the latter.

There is, therefore, an undeniable difference of opinion.

Poland, however, argues that notice of an intention to expropriate is merely an invitation to those concerned to submit their respective claims within a specified time, and that, therefore, the terms of the Convention are not yet applicable to it.

This observation in no way alters the terms of the question. The difference of opinion still subsists ; for Germany, on the other hand, holds that, even reduced to these terms, the act of notification, being an act connected with the execution of measures of expropriation, is undoubtedly an act in application of the Geneva Convention and therefore can only relate to property liable to expropriation under the terms of Articles 9, 12, 13 and 17 of that Convention. Since the property dealt with in these articles can under no circumstances be expropriated, it is clear that it cannot be made the subject of an intention to proceed to expropriation.

The Polish objection is not sound, not only because the right of complaint granted by Poland to the owners is a matter of domestic concern which cannot be used in argument against Germany, but also because, according to Article 20, directly notice has been

given, expropriation is possible under the Geneva Convention without any restriction as to time, and thus becomes for the owner a menace which may continue for two years ; and finally because under the terms of the same Article 20 and of Article 16, once notice has been given, the owner cannot, without the consent of the Polish Government, alienate *inter vivos* either the estate to be expropriated or its accessories, so that the giving of notice places serious restrictions on rights of ownership.

It follows from what has been stated that a difference of opinion exists between Germany and Poland respecting the construction and application of Articles 9, paragraph 3, sub-paragraph 2 ; 12, paragraph 1 ; 13, paragraph 2 ; 15 and 17 of the Geneva Convention (all being provisions included between Article 6 and Article 22 of that Convention) in connection with the notice given to the proprietors enumerated in the Application instituting proceedings ; the Court, therefore, under the terms of Article 23 of the same Convention, has jurisdiction also to reserve this part of the suit for judgment on the merits.

II.

Admissibility of the Suit.

In this part of her preliminary objections, Poland returns to the question of the inadmissibility of the Application.

In regard to this question, Poland argues as follows.

Article 19, paragraph 2, of the Convention runs as follows :

[*Translation.*]

“Should the Polish Government come to the conclusion that an undertaking or estate really belongs to a German national, or that a company is really controlled by German nationals, and should the interested party, after notice has been given, contend that this is not the case, the latter may, within one month after receipt of notice, appeal to the Germano-Polish Mixed Arbitral Tribunal for a decision. If necessary, the Mixed Arbitral Tribunal may provisionally suspend expropriation proceedings.”

Now the Polish Government says that “six of the proprietors named in the Application filed with the Court have had recourse to this Arbitral Tribunal before which the cases are still pending”.

But, besides the general considerations already set out in regard to this matter in connection with the question of the factory at Chorzow, considerations which apply with full force in the present case, it must be added that, according to the statement of the Polish Government itself, only six of the ten proprietors have appealed to the Germano-Polish Mixed Arbitral Tribunal, and that in only two cases out of these six has actual notice of proceedings been given. Thus, even if the considerations referred to did not hold good, the Court would retain jurisdiction to deal with the case in so far as it concerns the other proprietors.

Furthermore, Article 19 of the Convention contemplates a situation entirely different from that which the Court has to consider ; for it only applies to cases in which the Polish authorities are of opinion that an undertaking or an estate really belongs to a German national or that a company is really controlled by German nationals, and in which the interested Party contends that this is not so. But, as has been seen, the hypothesis submitted to the Court is entirely different.

FOR THESE REASONS,

The Court,

having heard both Parties,

I. (1) In *affaire I* referred to in the plea filed by the Government of the Polish Republic :

dismisses this plea ;

declares the Application to be admissible ;

and reserves it for judgment on the merits.

(2) In the *affaires II* referred to in the plea filed by the Government of the Polish Republic :

dismisses this plea ;

declares the Application to be admissible ;

and reserves it for judgment on the merits.

II. Instructs the President to fix, in accordance with Article 33 of the Rules of Court, the times for the deposit of further documents of the written proceedings.

Done in French and English, the French text being authoritative, at the Peace Palace, The Hague, this twenty-fifth day of August, nineteen hundred and twenty-five, in three copies, one of which is to be placed in the archives of the Court, and the others to be forwarded to the Agents of the Applicant and Respondent Parties respectively.

(Signed) MAX HUBER,
President.

(Signed) Å. HAMMARSKJÖLD,
Registrar.

M. Anzilotti, while agreeing in the conclusions of the Court, desired to add the following observations in regard to one point in the statement of reasons.

Count Rostworowski, Polish National Judge, declaring that he was unable to concur in the Judgment delivered by the Court, and availing himself of the right conferred on him by Article 57 of the Court's Statute, delivered the separate opinion which follows hereafter.

(Initialled) M. H.

(Initialled) Å. H.